

VII

RISKS

As we have emphasized in previous sections, DeFi allows developers to create new types of financial products and services, expanding the possibilities of financial technology. While DeFi can eliminate counterparty risk – cutting out intermediators and allowing financial assets to be exchanged in a trustless way – all innovative technologies introduce a new set of risks. To provide users and institutions with a robust and fault-tolerant system capable of handling new financial applications at scale, we must confront and properly mitigate these risks; otherwise, DeFi will remain an exploratory technology, restricting its use, adoption, and appeal.

The principal risks DeFi faces today are smart contract, governance, oracle, scaling, DEX custodial, environmental, and regulatory.